Costlier debt, less room for the next shock

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【メール原文】

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Governments fiscal squeeze narrows room for next downturn

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Higher bond yields are locking the US and France into a debt dynamic in which each year of delay increases both the fiscal tightening required and the risk of further yield rises.
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Governments will enter the next recession with far less fiscal space than in 2008 or 2020 and will have to choose between a smaller response and higher yields that would likely hit France and the UK first.
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Structural fiscal pressures, including aging-related costs, will further constrain strategic priorities such as defense, while faster growth from AI would help but would not fix the fiscal arithmetic.

Higher yields are making fiscal repair costlier with every year it is delayed. Each rise in yields lifts the primary surplus needed to stabilize debt levels. To illustrate the threat to fiscal sustainability posed by the recent rise in yields, we reprice the IMF's October projections at yields averaged over the four weeks to 13 October and extend them to 2036, using the IMF's 2031 fiscal stance and official aging-cost estimates. Net interest then rises from 3.6% of GDP this year to 6.7% by 2036 in the US and from 2.5% to 5.4% in France (Exhibit 1). US net debt exceeds 140% of GDP and France's 125% (Exhibit 2). By the mid-2030s, interest costs as a % of GDP will be higher than growth in all four economies, by 1.7% of GDP in the US and 1.6% in France (Exhibit 3).

Exhibit 1

Exhibit 2

Exhibit 3

Delay raises the bill, and France is closest to the point where adjustment becomes extremely difficult. Bringing net debt to 100% of GDP by 2040 requires primary balances to improve by 4.5% of GDP in the US and 4.0% in France relative to IMF estimates for 2027 (Exhibits 4 and 5). Starting in 2030 rather than 2027 adds about another point. France combines a deficit stuck near 5% of GDP, net debt exceeding 110% of GDP, and the largest pension bill of the four economies.

The UK’s plans would do most of the work, but markets doubt the government will carry them out. According to IMF estimates, the UK’s primary deficit narrows from 2.7% of GDP in 2025 to 0.3% in 2027, leaving under 1% of GDP of further tightening to keep net debt below 100%. However, the IMF’s UK figures still rely on the Office for Budget Responsibility's March forecast, made with 10-year gilt yields near 4.5%. Our estimates incorporate the rise to about 5.3% since then. Since 2010, chancellors have typically planned to borrow about 1% of GDP five years ahead, but actual borrowing has averaged nearly four times that level.

Exhibit 4

Exhibit 5

Interest bills will compete with defense pledges for scarce fiscal room. Rearmament will fall increasingly to countries with fiscal room, such as Germany and South Korea. Interest payments already exceed defense spending in the US, the UK, and France, which complicates NATO commitments to spend 3.5% of GDP by 2035. By 2036, US interest costs will be more than double defense spending (Exhibit 6), and Eurasia Group expects a US defense budget review that could lead to cuts within two to three years (see: Mounting US debt is the most overlooked long-term security threat , 15 September 2026). Japan is likely to target 3.5% of GDP in its new five-year plan, but fiscal strains and probably weaker pressure from a future US administration mean actual spending will likely fall short.

Exhibit 6

The next recession will start with far less fiscal space than in 2008 or 2020. We place the odds of our base case of resilient growth at 45% and our downside scenario at 30% (see: Global growth is resilient, but headwinds are intensifying , 23 September 2026). From general government deficits of about 5% of GDP in France and 8% in the US in 2027, a typical recession would push deficits to 6%-12% of GDP, taking France above its 2009 peak (Exhibits 7 and 8). Governments will still respond, but unchecked support would test bond markets first in the UK and France, as the 2022 gilt crisis showed. Higher yields would erode much of the stimulus. A downturn could also accelerate AI-driven job cuts and give populist parties a new political target (see The AI jobs backlash is arriving before broad job losses, 8 September 2026).

Exhibit 7

Exhibit 8

Faster growth from AI would help but not fix the fiscal arithmetic. AI that lifted growth by 0.5 points a year, within IMF and OECD estimates, would cut net debt in 2036 by about 6 points of GDP. A 1990s-style boom of 1.5 points would cut it by about 17 points. Even then, US debt would still rise to about 124% of GDP, while France’s debt would only stabilize (Exhibit 9). If interest rates rose alongside growth, the benefit would shrink by one-third to one-half.

Exhibit 9

Aging will tighten the squeeze further, especially in Japan and the US. Under current law, the rise in pension and health spending from aging alone through 2060 is equivalent to hidden debts of about 45% of GDP in Japan, nearly 40% in the US, 30% in the UK and 15% in France (Exhibits 10 and 11). In the UK, Prime Minister Andy Burnham plans to end the triple lock from 2030 and spend £18 billion a year on free social care, shifting the cost of aging from pensions to care (see: Burnham's care funding gamble risks voter backlash , 29 September 2026).

Exhibit 10

Exhibit 11

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